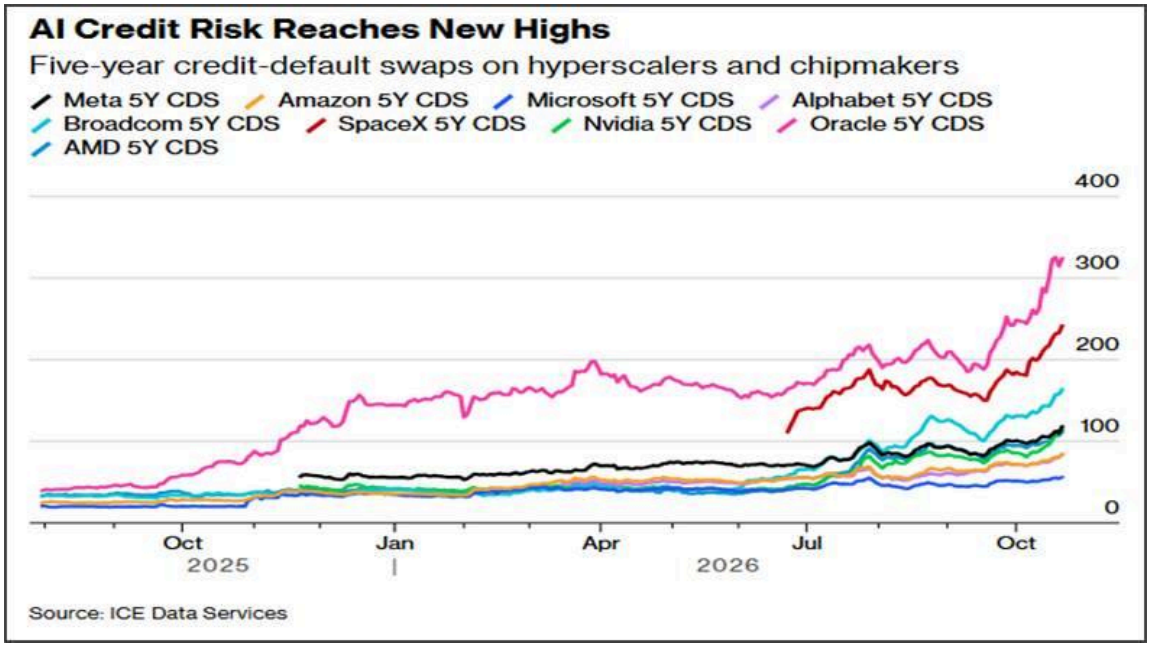
October 26th, 2026

You can absorb every podcast and research report available and still feel the current market form doesn't quite make sense. Energy prices and rates are surging, inflation is persistent, and AI infrastructure spending is increasingly scrutinized as circular, hyper-concentrated, and potentially self-referential. Yet despite these headwinds, we sit at the doorstep of all-time highs.

In a sense, that is a letdown to me, as it invalidates so much of the historical reasoning investors rely on. Part of that frustration comes from how I'm wired. I have a deep fascination with behavioral psychology, and I've realized my mind operates through a *zero-tolerance epistemic filter*. Once a single structural component is compromised by contradiction or manipulation, I deem the entire structure as invalidated. In other words, I tend to call bullshit earlier than most, and I rarely get to spend time in LaLa land, as I'm constantly looking for invalidators all around me. This is also the crux of why I find the market so intriguing in the first place. The market is always in motion, so what mix of colors it shows in any given period belongs only to that period. Much like our life, it will never be repeated, no matter how similar the external factors acting upon it are.

I've come to realize that most things in finance are quite obvious – with timing being the tricky part. This year's market has been defined by a few headlines, but none more controlling than the AI trade, which rests on a few key assumptions, such as 1.) a persistent shortage of compute, 2.) no roadblocks to the infrastructure rollout, and that 3.) there will be ample financing to support the enormous capex assumptions.



It is clear to me that what's happening with AI spending is unsustainable. The assumption that cheap debt will continue to fund the buildout is highly likely to exhaust itself. I've written for over twelve months now on the idea that Nvidia's growth rate will be our nail in the coffin for when the bubble pops. I've thought a lot recently about what that would truly imply. A slowing growth rate for Nvidia would mean that funding has dried up. I alluded above that a major concern is the circular, hyper-concentrated dynamic present in Nvidia's revenue growth. Meaning, the majority of demand is coming from just a few buyers, who are jumping through hoops of ever more expensive debt issuance. Common sense says that issue is one that starts slowly and ends abruptly. Currently, AI spending is roughly 3–4% of US GDP, with estimates of being 10% by 2030. When AI spending (lack of funding) slows, I believe it will cascade through the economy and send equities into a steep decline. The good thing for stocks is that while transformations are disruptive, they are ultimately opportunities for the establishment of new winners.

All that is to say, if you were to look me in the face and ask me if I believe the current market is credible, I would emphatically answer no. My mind won't allow me to think otherwise. Does that make the game unplayable to me? Certainly not; one just has to play by rules that fit their cognitive personality best. Every investor should realize they are playing their own game, always.

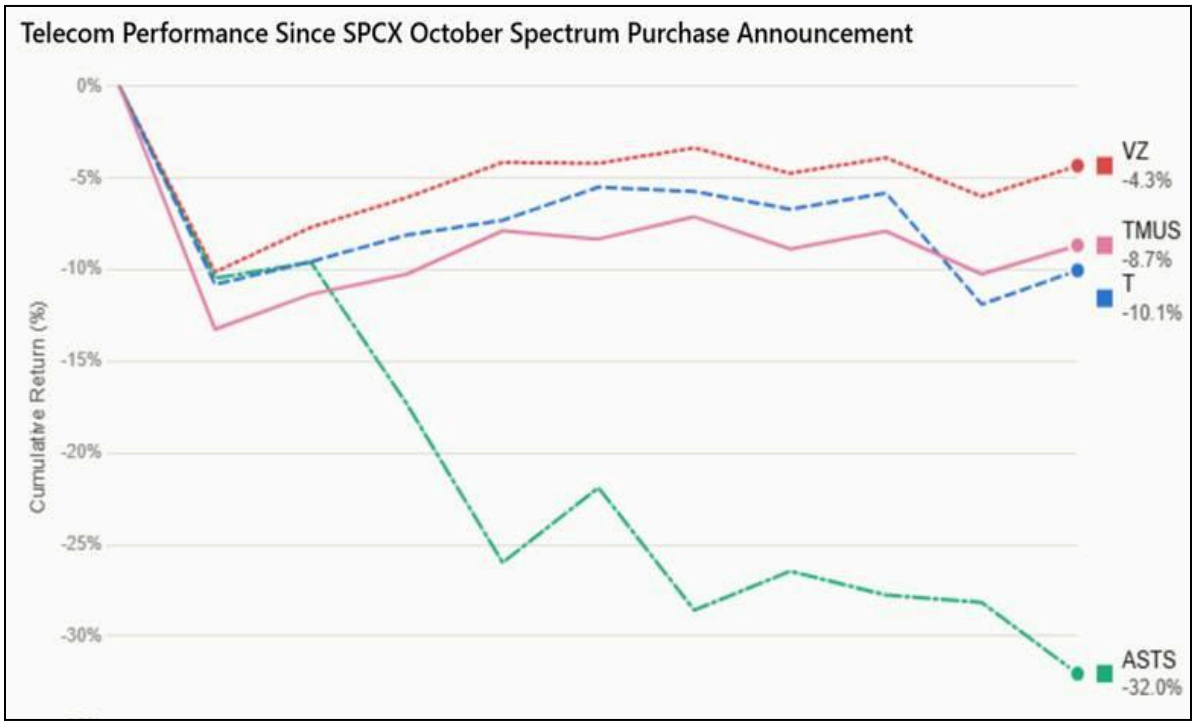
In the following pages, I'll provide a few forward-looking ideas to make money from before wrapping up with commentary on the market's direction over the next few months.

SpaceX vs Everyone

We spoke on SPCX earlier this year as the inevitable IPO was making its arrival. After bottoming near $110/share in early August, the stock has performed strongly and, quite honestly, to my surprise, being that it IPO'd at such a large valuation. You can expect there to be a period of reshuffling as long-term investors settle in. For those who are very long-term oriented, I'm fine with starting to consider a decades-plus position in this stock now. Should 2027 prove arduous for equities, I'd be looking to buy a company like SPCX. It will soon merge with TSLA if political obstacles are avoided. As long as Elon does it while Trump is president, things should go fine for such an attempt. SpaceX has a deep desire to get their hands on the $45B in cash TSLA has on its balance sheet.

In recent weeks, SPCX has garnered headlines as the eventual destroyer of AT&T, Verizon, and T-Mobile, after announcing its recent spectrum purchase. While I pay no mind to those legacy names, I do think the volatility has provided us with a considerable opportunity here to play AST SpaceMobile (ASTS). I spent the majority of the year watching this name fly ever higher as the SPCX IPO momentum mounted. In short, while the SPCX spectrum purchasing

news was brutal for legacy telecom stocks (Verizon had its worst day since July 2002), it hit ASTS much harder (see the image below).



ASTS is a young competitor of SPCX and one that is partly owned by both AT&T and Verizon. In my opinion, once the dust settles, you will have a chance to make a considerable return from playing the more volatile ASTS. Based on my technical perspective, I'd more than likely enter at $30/share should ASTS reach that level. Long-term moving averages certainly hint at such. I ultimately do not rule this name out as a long-term hold either, but in this instance I'm working to take advantage of what I deem an overreaction. Of course, this is a speculative stock that will be treated with more disdain should the overall equity market catch a cold.

Liquidia: Opportunity Anew

It is purely coincidence that my next idea is also one stemming from a current market overreaction. I'll do my best to provide a touch of science here first before discussing why I bought the stock recently.

I wrote in early 2025 on how I view much of the investing world as "uninvestable," and nothing more so than the biopharmaceutical sector. I rarely venture into this world and truthfully, the names I do watch and consider (LQDA, AXSM, INBX, IMCR) typically cross my desk initially by way of people much smarter than me. My opinion is that pharmaceutical-related stocks are a legal nightmare. There is simply too much litigation detail involved with each stock

for me to spend my limited time understanding. In Liquidia's (LQDA) case, it fared no differently.

Liquidia's specialty is the cardiopulmonary system, whose job is to pump oxygenated blood throughout your system. Their most notable medication, Yutrepia, helps to serve patients suffering from various types of pulmonary diseases. It has been wildly successful and the driver for why the stock appreciated from $4/share (when I first purchased in 2020) to over $90/share earlier this year. I was just two decades old at that time and didn't fully understand what I was investing in. I ecstatically sold when it crossed over $11/share in a matter of weeks.

Flash forward to today, Yutrepia has been used for years to treat patients with pulmonary arterial hypertension (PAH) and pulmonary hypertension associated with interstitial lung disease (PH-ILD). As of 2Q 2026, the revenue split for LQDA between patient types was around 60% PAH and 40% PH-ILD. Throughout 2026, LQDA was approaching a much-anticipated patent litigation decision regarding Yutrepia. Courts were essentially providing a judgement on whether LQDA can market Yutrepia to both patient types or solely PAH patients. On September 30th, the ruling was made public with notice that LQDA would no longer be able to label and market the PH-ILD indication on Yutrepia. They are allowed to maintain current patients, however.

In the days following the court ruling, LQDA shares lost almost 70% of their value, trading down to a market cap just over $2B. Now, I've watched this company weekly for the last six years, as it was nothing but successful for investors, so I paid very close attention beginning in early October when this was all taking place. I decided to purchase LQDA shares at $33/share and intend on holding the position for at least twelve months. My opinion is that price does not align with the underlying revenue story here. In their pre-announced 3Q earnings, management noted $50M in PAH associated revenue growth alone from the second to the third quarter. I believe this trend continues and that purchasing this stock at or around $30/share will outperform over the next few years. Not to mention, now that all the litigation madness is over, a clearer path to acquisition presents itself to them as well.

A New Name – LASR

Stock investing is so captivating because you are able to witness some of the most frontier businesses lose the majority of their market cap pretty regularly. You can be invested in a juggernaut of an idea, but the stock can act otherwise. I've recently begun following nLIGHT, Inc. (LASR), and much like the ticker reads, its business is lasers. More specifically, those that play a role in defense, aerospace, and semiconductor manufacturing.



**LASR at market close on October 23rd, 2026*

Being an early-stage growth company, much of its value hinges on hope and, ultimately, execution. I would recommend learning about this company and its niche positioning. As you can see above, much of the recent past has been dramatic for investors. I'm anticipating getting to buy the stock when it finally bottoms out and begins recovering. I view this stock as one that is thematically set up to succeed in 2027 and beyond. I would like to buy this stock as close to $20/share as I can get it. If it finds support closer to $30/share, I'll watch closely for a few weeks and begin there.

Conclusion

Reporting periods for Big Tech are never smooth sailing for markets; I've mostly watched from afar as the market continues its weakened chop into late October. Underneath the surface, much of the market has been bleeding for quite some time now. If not for a few dense names, the market would be negative for the year. MSFT and AAPL alone make up 13.6% of the S&P 500. For comparison's sake, the entire energy sector is only 3%. This is evidence for why this year's market doesn't make much sense. Without the outperformance of a select few names, the vast majority of the market has been losing considerable value for many months now.

More notable AI names such as NBIS, ALAB, and CRDO, ones we've written on throughout most of 2026, seem to all be facing the same headwinds: doubt from investors. More so, inflation is like kryptonite for fast-growing companies with no free cash flow. In the instance 3Q earnings don't provide a bounce in equities, the market will continue to punish such names and reward sectors such as energy and healthcare, as well as select Mag7 stocks.

Outside of the earlier mentioned names, I've kept my attention on more familiar stocks such as CRK and TFIN. I'll continue to buy CRK close to $12–13/share. I've recently dipped my toes back into TFIN at $60/share. I've been considering adding more VG closer to $13. I think these names, along with LQDA, offer a shielded environment from much of the AI frenzy. As of October 23rd close, we sit at 23.8% year-to-date and maintain a 51% cash position. Should we see a strong seasonal bounce in November through year-end, I'll be looking towards the AI related names as targets for a momentum trade. As always, thank you for your time and have a pleasant fall season.



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